

Chapter 2. The Investor and Inflation

1. This was written before President Nixon's price-and-wage "freeze" in August 1971, followed by his "Phase 2" system of controls. These important developments would appear to confirm the views expressed above.

2. The rate earned on the Standard & Poor's index of 425 industrial stocks was about 11½% on asset value—due in part to the inclusion of the large and highly profitable IBM, which is not one of the DJIA 30 issues.

3. A chart issued by American Telephone & Telegraph in 1971 indicates that the rates charged for residential telephone services were somewhat less in 1970 than in 1960.

4. Reported in the *Wall Street Journal*, October, 1970.